Customer Retention & Lifetime Value Analytics

Finding which customers matter most, who is leaving, and where to act.

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

The Problem:

A UK online giftware wholesaler serves many customer accounts. **Revenue looks healthy** in total, but the average hides important differences. Some buyers order often. Many buy once and disappear. A limited retention budget means the business must know who to protect, who to win back and when to act.

The decision

Spend less on broad contact.
Focus on customer value and risk.

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

The four questions to solve

01

How concentrated is revenue?

02

Do customers keep buying after the first order?

03

Which customers behave alike?

04

Which valuable groups are at risk — and worth acting on?

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

Data and approach

A clear route from raw orders to practical customer actions.

Clean orders
Remove cancellations and invalid rows

Build customer history
Combine spend, orders and dates

Measure behaviour
Recency, frequency and monetary value

Compare groups
Deciles, cohorts and segments

Set priorities
Value first, then risk and effort

Inputs: invoice date, customer account, quantity and sales value.

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

Quick snapshot

64.7%

Revenue from the top 10% of customers

14.8%

Customers ordering 11+ times

65.1%

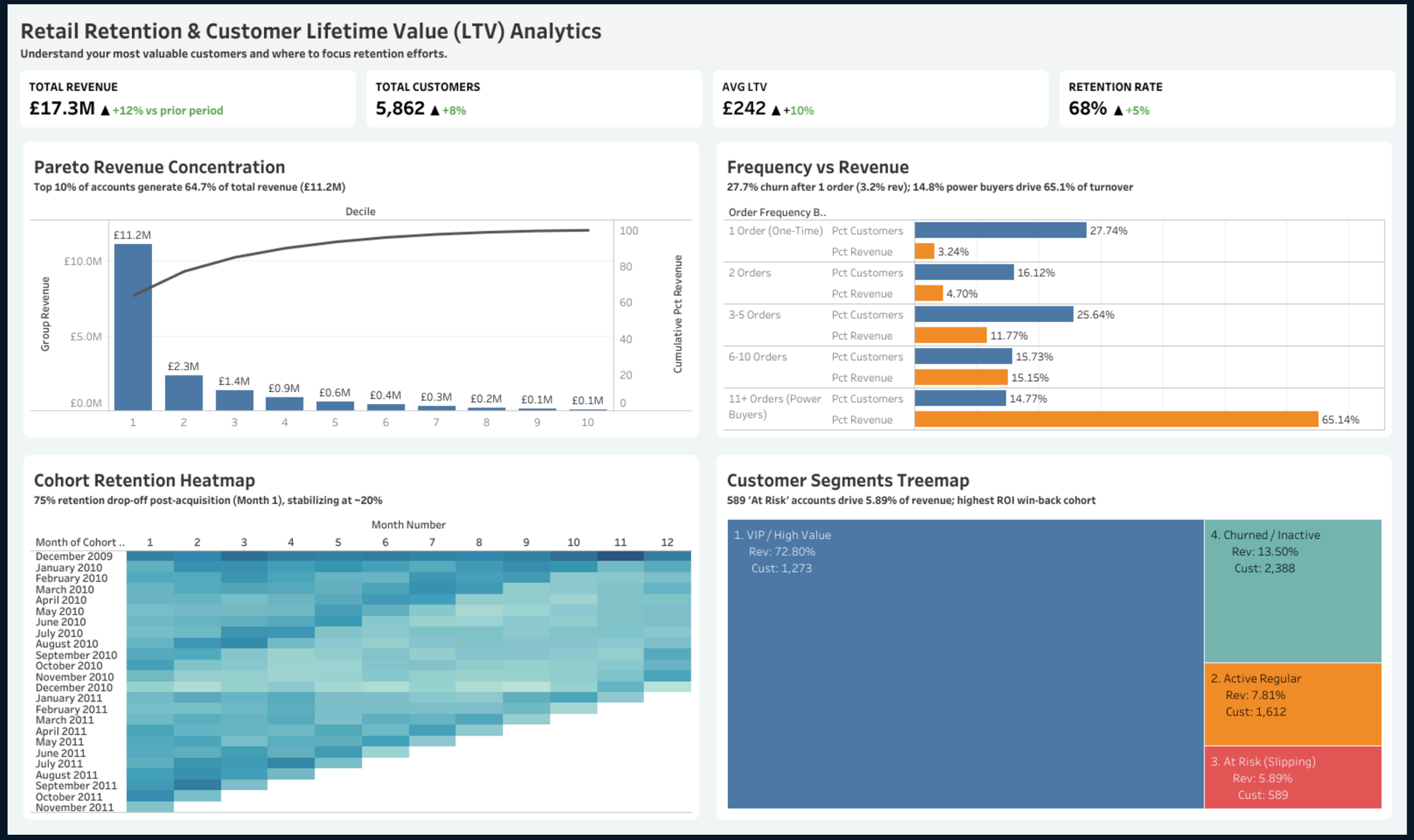
Revenue from those frequent buyers

12 months

Retention window reviewed by cohort

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

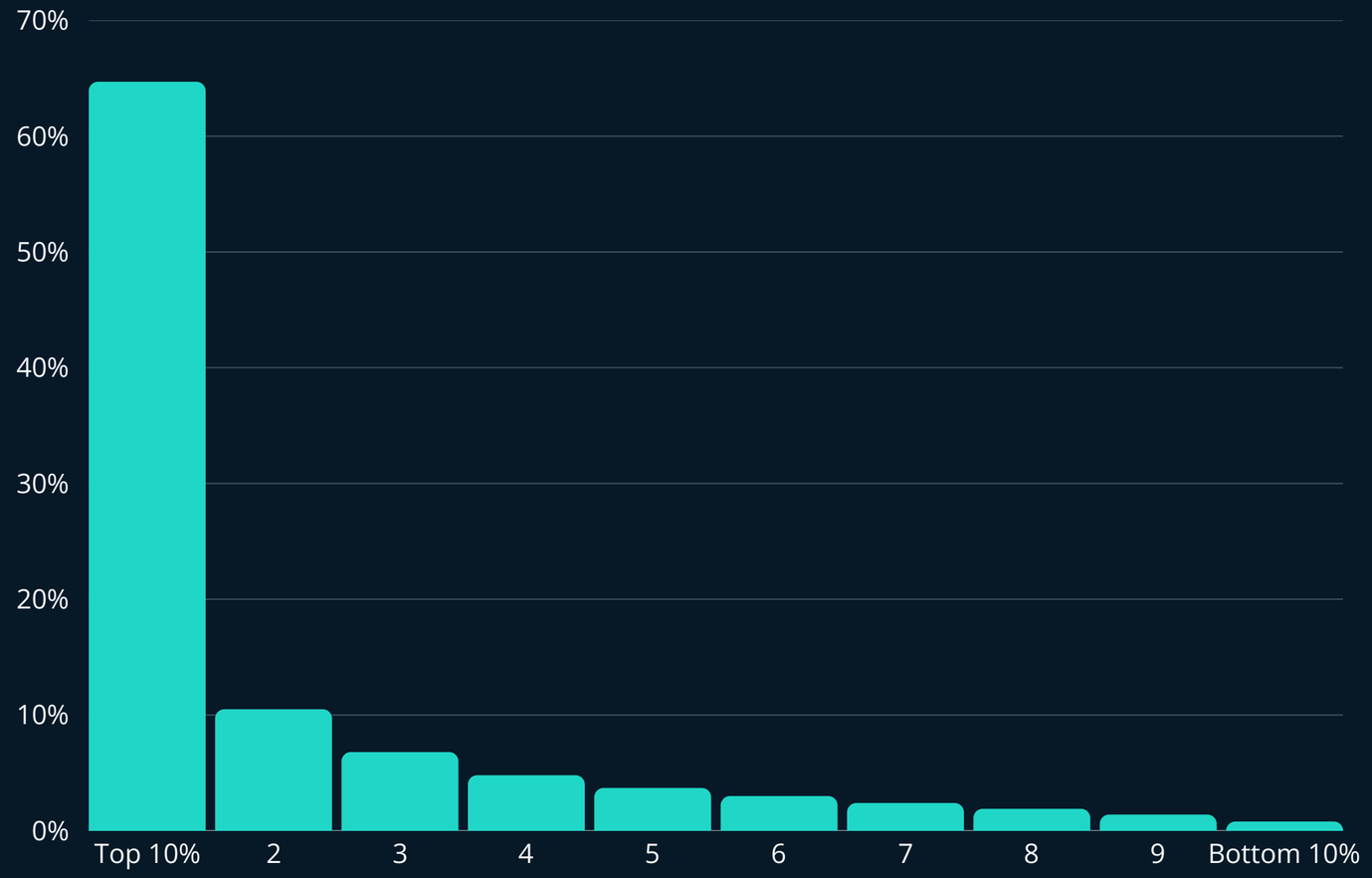
The Main Dashboard

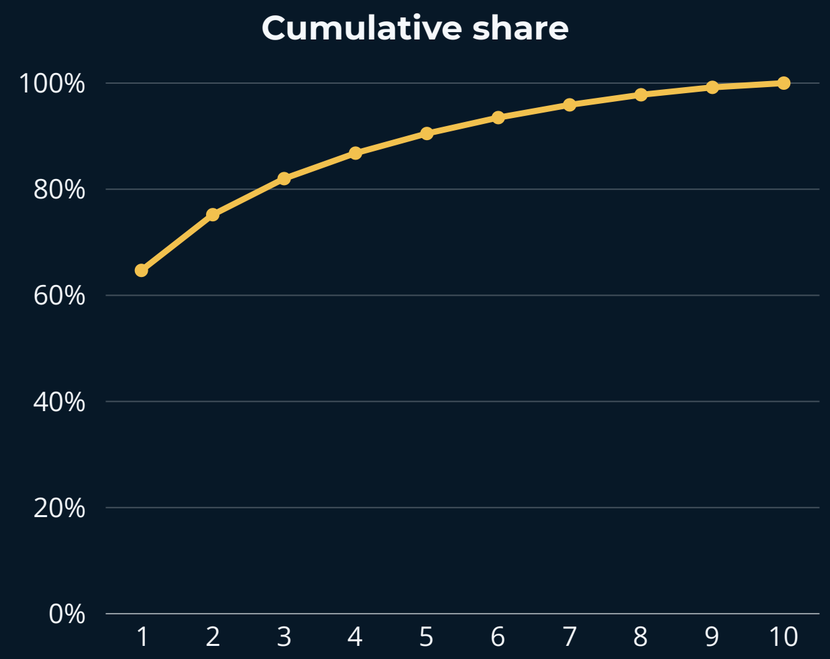


Source: https://public.tableau.com/views/RetentionandRFMCaseStudy/RetailRetentionCustomerLifetimeValueLTVAnalytics?:language=en-US&:sid=&:redirect=auth&:display_count=n&:origin=viz_share_link

Revenue is highly concentrated

The top 10% of customers bring in 64.7% of all revenue.

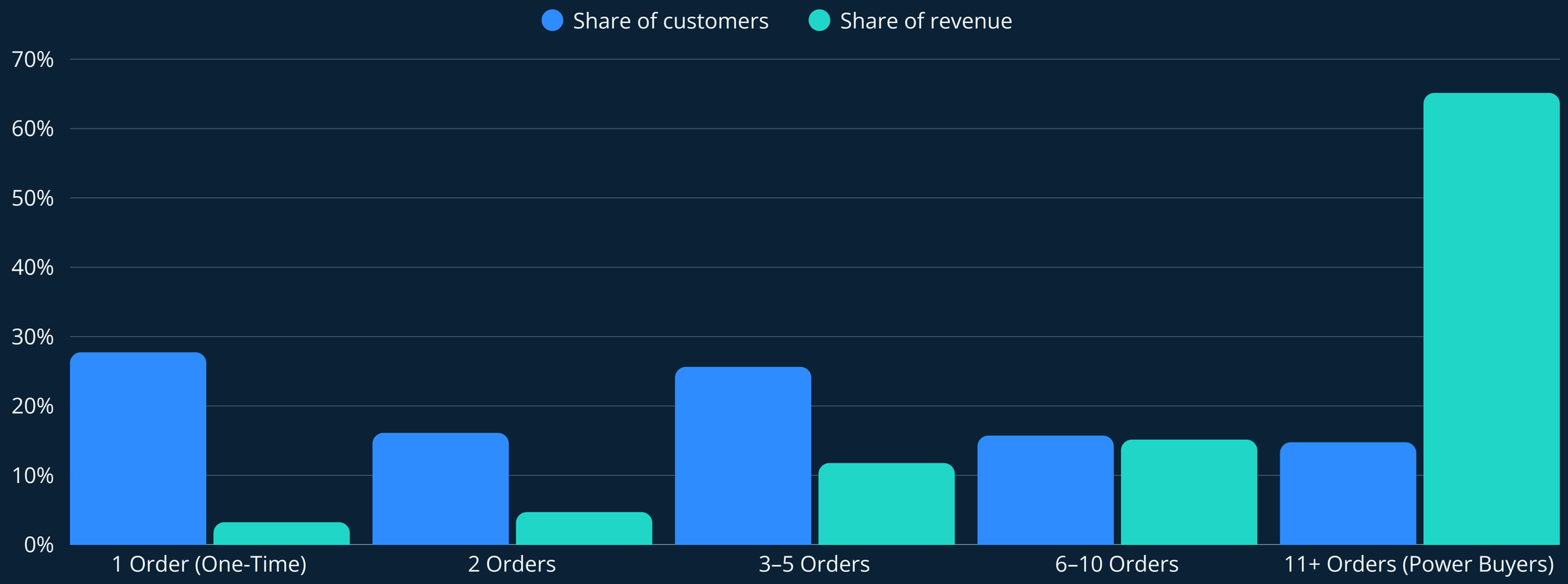




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Frequent buyers drive the revenue

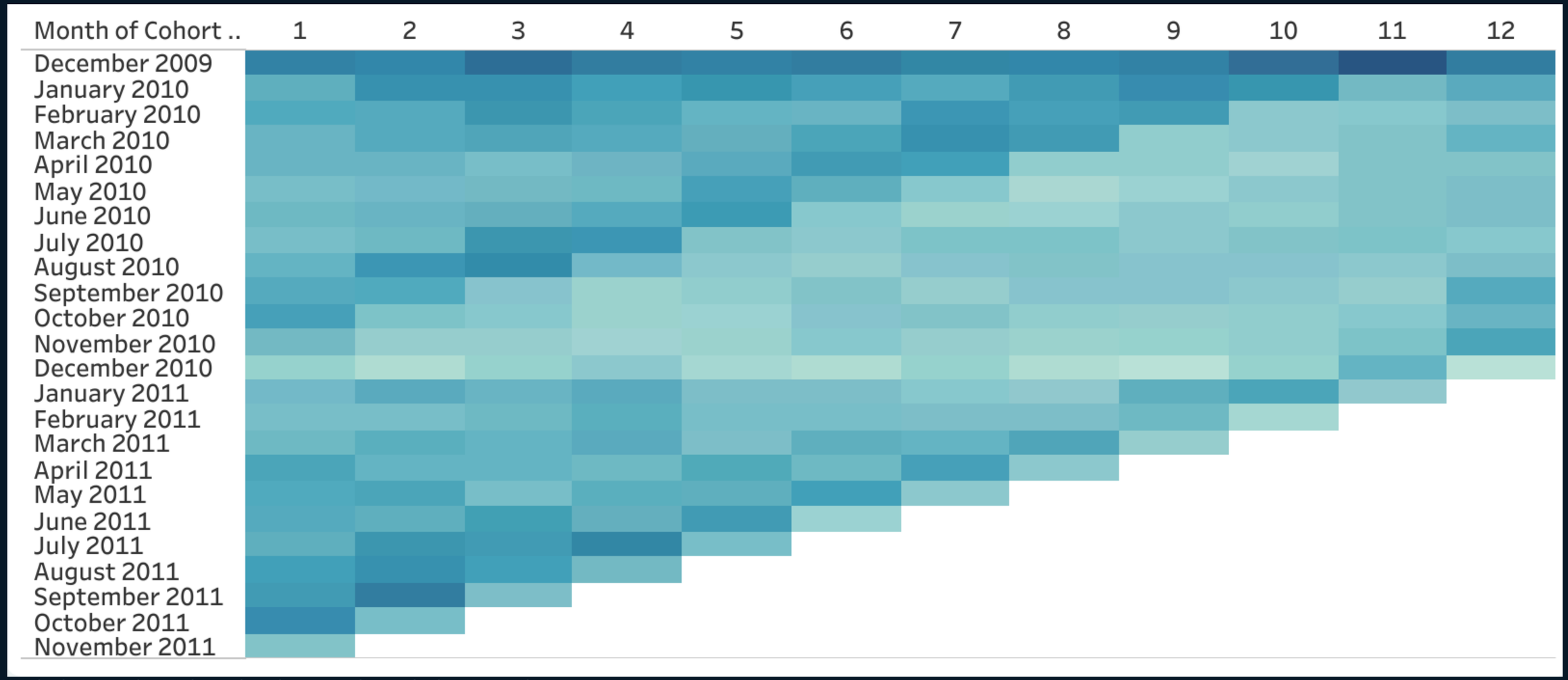
14.8% of customers who ordered 11 or more times bring in 65.1% of revenue.



Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

Most customers do not return after order one

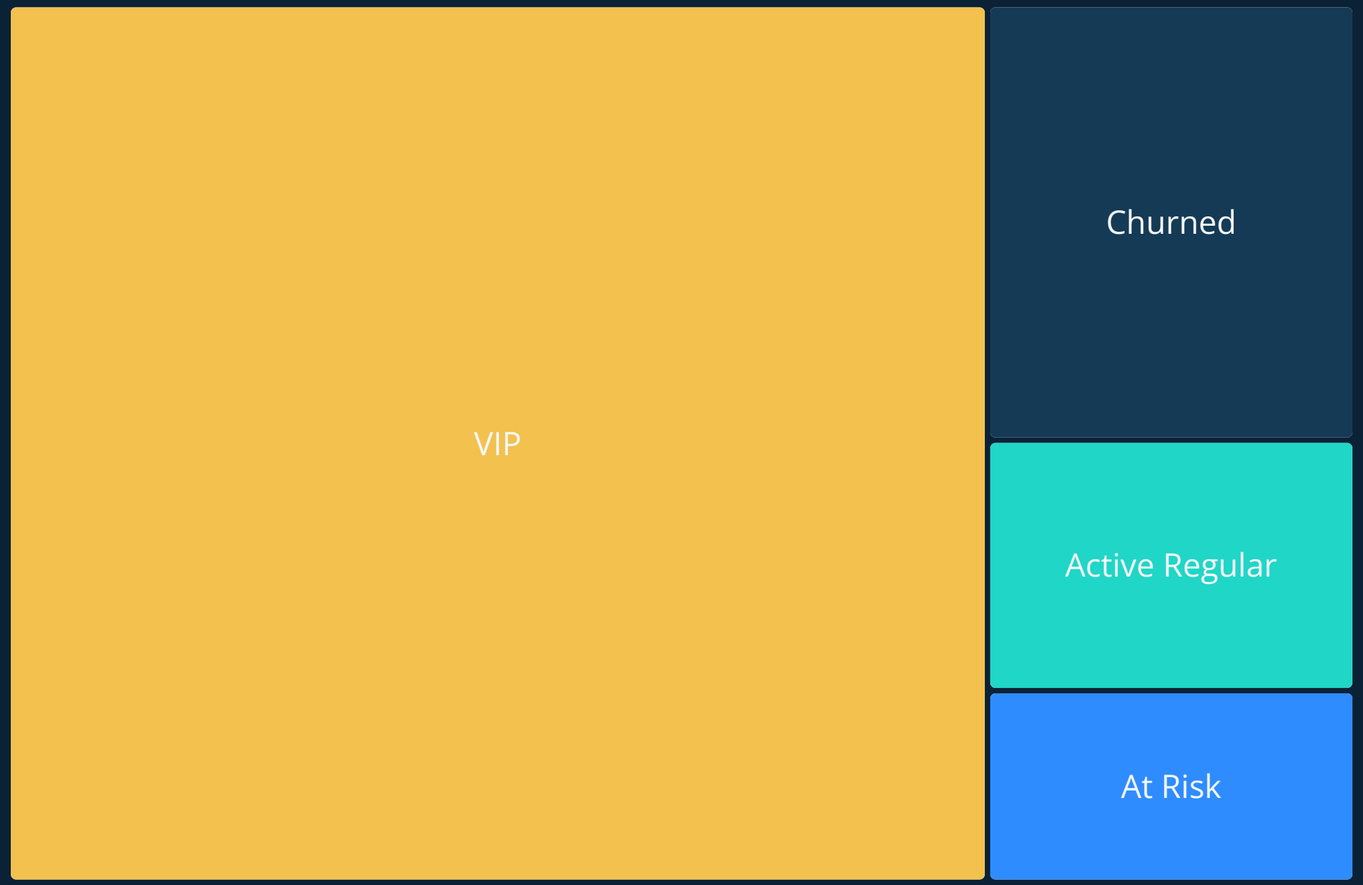
The pattern is similar for every joining month.



Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

Four groups reveal different customer value

Groups use Recency (how recently), Frequency (how often) and Monetary value (how much).



Group	Accounts	Revenue
VIP • recent, frequent, high	1,273	72.8%
Active Regular • regular and stable	1,612	7.8%
At Risk • newer potential	589	5.9%
Low Churned • old or one-off	2,388	13.5%

Nicholas Aurelio Tjakrarahardja - aurelio.nicholas@gmail.com

Answers to the Four Core Questions

HOW CONCENTRATED IS REVENUE?

64.7%

The top 10% of customers bring in 64.7% of revenue (£11.2M of £17.3M), so revenue is highly concentrated.

DO CUSTOMERS KEEP BUYING AFTER THEIR FIRST ORDER, AND DOES THIS DIFFER BY WHEN THEY JOINED?

About 75% lost

No, most do not. 27.74% of customers buy only once. Across monthly cohorts, retention drops by ~75% by Month 1 (settling into a 16%–35% active band), remaining flat across every joining month.

WHICH CUSTOMERS BEHAVE ALIKE?

4 groups

Based on RFM, customers segment into VIP (1,273 accounts | 72.80% rev), Active Regular (1,612 accounts | 7.81% rev), At Risk (589 accounts | 5.89% rev), and Churned (2,388 accounts | 13.50% rev).

WHICH VALUABLE GROUPS ARE AT RISK, AND WHAT IS WORTH ACTING ON?

£1.02M

The 589 At Risk customers hold £1.02M of recent revenue.
Act first on protecting VIPs,
winning back At Risk customers and turning
one-time buyers into repeat buyers.

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Where to spend the limited budget

1

Protect VIP customers

Give valuable accounts personal service, reliable stock updates and fast issue handling.

2

Fix the first-purchase drop-off

Use a simple welcome sequence. Make the next useful order easy to see and easy to place.

3

Win back slipping accounts early

Trigger a low-cost message when normal buying slows. Escalate only the highest-value cases.

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Growth is not just finding new customers. It is keeping the ones that matter.

Thank you

Nicholas Aurelio Tjakrarahardja | aurelio.nicholas@gmail.com